

We need to understand the quality of every business, including its ROE, margin, growth, and others. We can find all the details in the tables as well. Information like their growth, EBITDA, and profitability numbers are available for the larger subsidiaries. This tells us how the subsidiaries are performing in terms of business quality.



Build rough valuations for each of these major subsidiaries

Based on each subsidiary's sales and profit figures, we can arrive at an approximate figure by assuming a nominal multiple. For example, the first company has approximately 176 crores in sales, with EBITDA levels showing losses. We may assign a basic revenue multiple. We are not trying to value companies but understand how large and valuable are the assets.



Often, a subsidiary becomes more valuable than the overall market cap of the parent company. In that case, it will be a good investment. Even though this gives us a good understanding, emphasizing this is unnecessary. This is not something that makes or breaks the analysis.